

compare with the practice of former years? Prior to the late 1920s, the sale of stock to the public by reputable houses of issue was governed by the following three important principles:

1. The enterprise must be well established and offer a record and financial exhibit adequate to justify the purchase of the shares at the issue price.
2. The investment banker must act primarily as the representative of the buyers of the stock, and he must deal at arm's-length with the company's management. His duty includes protecting his clients against the payment of excessive compensation to the officers or any other policies inimical to the stockholders' interest.
3. The compensation taken by the investment banker must be reasonable. It represents a fee paid by the corporation for the service of raising capital.

These rules of conduct afforded a clear line of demarcation between responsible and disreputable stock financing. It was an established Wall Street maxim that capital for a new enterprise must be raised from private sources.⁴ These private interests would be in a position to make their own investigation, work out their own deal and keep in close touch with the enterprise, all of which safeguards (in addition to the chance to make a large profit) were considered necessary to justify a commitment in any new venture. Hence the public sale of securities in a *new enterprise* was confined almost exclusively to "blue sky" promoters and small houses of questionable standing. The great majority of such flotations were either downright swindles or closely equivalent thereto by reason of the unconscionable financing charges taken out of the price paid by the public.

Investment-trust financing, by its very nature, was compelled to contravene these three established criteria of reputable stock flotations. The investment trusts were *new enterprises*; their management and their bankers were generally *identical*; the compensation for financing and management had to be determined solely by the recipients, without accepted standards of reasonableness to control them. In the absence of such standards, and in the absence also of the invaluable arm's-length bar-

⁴ An apparent exception might be made sometimes in a case such as Chile Copper Company where the demonstrated presence of huge bodies of ore was regarded as justifying public financing to bring the mine into production. The sale of stock of the Lincoln Motor Company in 1920 was one of the few real exceptions to the rule as here stated. In this instance an unusually high personal reputation was behind the enterprise, but it resulted in disastrous failure.